Q3 2025 Sales Report · Northgate Technologies

NORTHGATE TECHNOLOGIES · Q3 2025 SALES REPORT Executive Summary Northgate Technologies posted Q3 2025 revenue of $47.3 million, representing a 12.4% increase over Q3 2024 ($42.1 million) and a 6.8% sequential increase from Q2 2025 ($44.3 million). The quarter marks the fifth consecutive period of double-digit year-over-year growth. Regional Performance North America remained the primary revenue driver, contributing $28.9 million (61% of total). The enterprise software division saw strongest growth at 18.2% YoY, driven by three large contract renewals in the financial services sector. Europe delivered $11.4 million, up 9.1% YoY, with particular strength in Germany and the Netherlands. Asia-Pacific contributed $7.0 million, up 14.6% YoY, with Singapore and Australia leading expansion. Product Breakdown Cloud subscription revenue reached $31.2 million, representing 66% of total revenue, up from 58% in Q3 2024. This shift toward recurring subscription revenue improves revenue predictability and reduces quarterly volatility. Legacy licence sales declined to $8.1 million, consistent with strategic product transition planning. Outlook Management reaffirms full-year 2025 guidance of $185·188 million in revenue. Q4 pipeline includes four pending enterprise contracts totalling approximately $9.2 million. Operating margin expanded to 21.3%, up from 19.7% in the prior year quarter. Conclusion The strong Q3 performance reflects continued demand for Northgate's cloud-native analytics platform. The shift toward subscription revenue positions the business for more predictable long-term growth.